

Q: What is the strategy now? How much is the share of the overseas business?

A: When we had Sylvania, about 40 per cent of our business came from the international markets. Now it is about 5 per cent. In the past three years, the focus has changed to recalibrating the efforts in international markets and in expanding our brands into markets like the Middle-East and Africa. Further, expanding the distribution and product range in these markets is in the works. By 2025, we want to grow the share of overseas business to 10 per cent.

Q: Letting go of 40 per cent of your revenues at that time was a bold step...

A: Yeah, sometimes you have to take those big decisions which eventually become the turning point for the company. What happened was that the entire focus shifted.... all the dollars that were needed to be spent on innovation, branding, distribution, R&D, manufacturing, everything was diverted to one geography. Ever since then, we've actually doubled our size, in spite of sacrificing 40 per cent of our business.

122 | **Q: Apart from the divestment and shift in focus towards the domestic market, what was the broad change in strategy you brought in?**

A: A lot many things like innovation, market share expansion and premiumisation were in continuation. The plan was to make the company future-ready and invite new talent. Using innovation is a sure-shot bet to acquire new customers. So, we intensified our efforts in R&D and digitisation.

Q: What will be your winning strategy in the highly competitive durables market in India?

A: The penetration level of home appliances in India is very low. With the ongoing electrification of villages, there lies a huge opportunity for growth. Players which have the capability to continue investing in the market will survive. Apart from long-term investments in brand-building and distribution, innovation will be our key differentiator. In the next three years, we will go deeper into the market. The demand for electronics and appliances is to get a boost in the rural market. Our goal is to ensure the presence and availability of our products.

We cater to a large gamut of customers, including B2B. In the past five years, we have made our presence felt in every channel. In FY23, we will cover 2,800 additional towns with population of 10,000-50,000. Then, we will add product categories. Currently, we sell only certain electrical products in the smaller markets and not white goods. At present, primarily the FMCG companies have an organised distribution channel in these markets. But we are building our own channel



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and once that's stable, we will keep adding products. Our aim is to be one of the top three players in every category we are present in.

Q: The cables business is your largest revenue generator. But the market is dominated by unorganised players. How do you stay relevant?

A: Yes, the market is highly unorganised. But informed buyers such as large industrial clients and commercial real estate players only buy from the prominent brands. The awareness levels among retail consumers are growing fast. If 20 years ago the market was 90 per cent unorganised, now that share has come down to 40-50 per cent. Consumers now want to buy from trusted brands so that they don't have to bother about the quality of the product. This is driving the share of the organised segment and will help boost our growth. **BT**

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